to forgo its travel plans for this year in favour of a staycation in Delhi-NCR. Jay Motghare, managing director of Nagpur-based air treatment company Nirmitee Robotics, has decided to switch investments from gold to mutual funds this year.

THE PAIN POINTS

The immediate pain point for consumers, however, will be fuel. India imports nearly 8 of its crude oil needs and is the world's third-largest oil consumer after the US and China. Every $10 (Rs 960) increase in crude prices inflates India's annual import bill by an estimated $13-18 billion (Rs 1.2-1.7 lakh crore) and increases inflation by 35-60 basis points. In India, petrol and diesel prices were increased twice in May after remaining unchanged for four years. CNG prices have also gone up. The aviation industry is preparing for a similar blow. Maharashtra and Delhi slashed value-added tax on aviation turbine fuel (ATF) in May. It is only a matter of time before the ATF price increase is passed on to airlines.

As household budgets tighten, discretionary spending is the first to fall. Affluent consumers will continue spending, but middle- and lower-income households may switch to cheaper goods

Higher fuel prices eventually filter through the economy, affecting the cost of logistics, manufacturing and everything from packaged goods to food. FMCG companies have already begun passing on costs. Amul raised milk prices by Rs 2 per litre. Dabur and Hindustan Unilever have announced price increases of 2-5 per cent. Sabnavis warns that inflation could exceed 5 per cent by year-end. "At the household level, perception is about what is hurting purchasing capacity," he says.

That perception is already shifting. RBI's Inflation Expectations Survey found households estimating current inflation at 7.2 per cent and expecting it to rise to 8.5 per cent over the next three months. Such expectations matter because they shape consumer behaviour. As household budgets tighten, discretionary spending is often the first to fall. According to Soumyajit Niyogi, director, India Ratings, affluent consumers will continue spending, but middle-income and lower-income households may trade down to cheaper products. Future income uncertainty, AI-related disruptions and weaker corporate earnings could further weigh on spending. There are fiscal worries, too. Fuel tax cuts have already cost the government some Rs 1.5 lakh crore. If revenues weaken and expenditure pressures rise, the Centre may struggle to sustain capital expenditure targets.



ATUL KUMAR YADAV

OIL PSUs

BALANCING LOSSES

Higher retail prices ease losses for oil marketing companies

Estimated daily losses



Before fuel hike (early May)
₹1,000 cr.
Govt. officials say Indian Oil, BPCL and HPCL were selling petrol/ diesel below cost

Peak stress estimate (April)
₹1,600 cr.
Under-recoveries estimated by analysts amid spike in crude oil prices

Monthly under-recoveries
₹30,000 cr.
Combined losses on petrol, diesel and LPG

After ₹3/litre hike (May 15)
₹750 cr.
Losses reduced by roughly 25%

After additional around ₹0.90 hike
₹900-1,300 cr.
Losses still elevated due to crude prices

4.12%
RISE IN PETROL PRICE
per litre in Delhi since May 15. Diesel price increased 4.45%